

PRAYAAN CAPITAL PRIVATE LIMITED

RISK MANAGEMENT POLICY

(Updated using Liquidity Risk Management & ALM Policy)

Version Control

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1. INTRODUCTION

Prayaan Capital Private Limited (the “Company” or “Prayaan”) has formulated this Risk Management Policy (“Policy”) to establish an integrated risk management framework across business, credit, operations, treasury, liquidity, compliance and technology functions. The Policy also sets out the liquidity risk management and asset-liability management (“ALM”) framework to be followed by the Company.

Risk is inherent in the Company’s lending and financing activities. The objective of this Policy is to ensure that material risks are identified, measured, monitored, controlled and reported in a structured manner, and that business decisions are taken within a clearly articulated risk appetite and risk-reward framework.

This Policy has been prepared in line with the applicable provisions of the Master Direction - Reserve Bank of India (Non-Banking Financial Company - Scale Based Regulation) Directions, 2023, as amended from time to time (“SBR Directions”), including the regulatory expectations on liquidity risk management, ALM governance, public disclosures and risk reporting applicable to NBFCs. Where any regulatory requirement is applicable only upon crossing a specified asset-size, layer or activity threshold, the Company shall comply with such requirement from the applicable date and may voluntarily adopt suitable internal standards earlier as a matter of prudence.

This Policy sets out the minimum standards to be followed by the Company. Business units and functional heads may adopt more granular operating procedures, risk limits, reporting templates and controls, provided that they remain consistent with this Policy and applicable law.

2. CONSTITUTION OF RISK MANAGEMENT COMMITTEE

2.1 Members: The Company shall have a Risk Management Committee (“RMC”) constituted by the Board. The RMC shall comprise such directors and senior management personnel as may be approved by the Board from time to time. The composition shall be aligned with applicable law and regulatory expectations.

2.2 Frequency: The RMC shall meet as and when required or at such shorter intervals as may be considered necessary having regard to the size, complexity and risk profile of the Company.

2.3 Quorum: The quorum for meetings of the RMC shall be as determined by the Board. In the absence of a specific Board-approved quorum, at least two members shall constitute quorum, provided that at least one Board member or one senior management member authorised by the Board is present.

2.4 Role of the RMC: The RMC shall assist the Board in overseeing the overall risk management framework of the Company and shall, inter alia:

- review the risk appetite, risk limits and risk governance framework of the Company;
- evaluate and monitor key risks including credit risk, liquidity risk, interest rate risk, operational risk, compliance risk, technology/cyber risk, legal risk and reputational risk;
- review the adequacy of risk identification, measurement, mitigation and reporting processes;
- review risk dashboards, key risk indicators, stress testing outcomes, early warning signals and major exceptions/breaches;
- oversee the implementation of Board-approved risk policies and recommend revisions where required;
- review material regulatory observations, audit findings and management action plans from a risk perspective; and
- report material risk matters to the Board at appropriate intervals.

2.5 Asset Liability Committee: The Company shall have an Asset Liability Committee (“ALCO”) to manage liquidity risk, interest rate risk and ALM matters. ALCO shall function as the senior management committee responsible for implementing the liquidity and ALM strategy approved by the Board/RMC and for ensuring adherence to internal and regulatory limits.

2.6 ALCO Composition and Meetings: ALCO shall ordinarily comprise the Managing Director, Chief Financial Officer, Deputy CFO, and such other invitees as may be considered necessary. ALCO shall meet as and when required.

2.7 ALM Support Group: The operating staff supporting treasury, finance, business, credit and operations functions shall form the ALM Support Group. The ALM Support Group shall be responsible for preparation of ALM statements, liquidity gap reports, cash flow forecasts, lender repayment schedules, borrowing plans, liquidity buffer computations, stress scenarios and other MIS to be placed before ALCO.

3. RISK PARAMETERS

The Company shall follow a disciplined risk management process while making business decisions. Risk identification and mitigation shall be embedded into product design, underwriting, collections, treasury, technology, outsourcing, compliance and reporting processes. The principal risk categories and indicative mitigation measures are set out below.

3.1 Credit Risk

Risk Parameter: Credit risk arises from the possibility of loss due to borrower default, deterioration in borrower repayment capacity, inadequate collateral cover, concentration in a particular product/geography/borrower segment, deficiencies in underwriting, or weakness in collections and recovery.

Risk Mitigation: The Company shall mitigate credit risk through Board-approved credit policies, defined underwriting parameters, income and cash-flow assessment, property/collateral evaluation where applicable, legal and technical due diligence, borrower exposure limits, product/geography controls, portfolio monitoring, early warning triggers, ageing and delinquency analysis, collection discipline, NPA recognition and provisioning in line with applicable norms.

3.2 Operational Risk

Risk Parameter: Operational risk arises from inadequate or failed internal processes, people, systems or external events. This includes branch process failures, documentation deficiencies, fraud, errors in loan booking or collections, data quality issues, outsourcing failures, business continuity disruptions and process non-compliance.

Risk Mitigation: Operational risk shall be mitigated through standard operating procedures, maker-checker controls, delegation of authority, system controls, periodic branch and process audits, exception reporting, incident tracking, staff training, vendor oversight, business continuity and disaster recovery arrangements, insurance where relevant, and management review of key operational risk indicators.

3.3 Market and Interest Rate Risk

Risk Parameter: Market and interest rate risk arises from adverse movement in interest rates, liquidity conditions or other market variables that may affect the Company's cost of funds, investment income, margins, earnings or economic value. In the current business model, the principal market risk is interest rate risk on borrowings, investments and repricing mismatch between assets and liabilities.

Risk Mitigation: The Company shall mitigate market and interest rate risk through ALCO oversight, periodic review of cost of funds, spread and net interest margin, monitoring of fixed versus floating rate exposures, interest rate sensitivity/gap analysis, alignment of borrowing tenor with asset maturity, prudent investment of temporary surplus, and review of product pricing where there is a material change in funding cost.

3.4 Liquidity and ALM Risk

Risk Parameter: Liquidity risk is the risk that the Company may be unable to meet its financial obligations as they fall due, or may be required to do so at an excessive cost. ALM risk arises from mismatches in the maturity, repricing, cash flow and behavioural profile of assets and liabilities.

Risk Mitigation: Liquidity and ALM risk shall be mitigated through cash flow planning, structural liquidity and dynamic liquidity monitoring, maintenance of liquidity buffers, lender diversification, monitoring of cumulative mismatches, contingency funding arrangements, stress testing, ALCO review, Board/RMC oversight and timely regulatory/public disclosures as applicable.

3.5 Regulatory, Compliance and Legal Risk

Risk Parameter: Regulatory and legal risk may arise from non-compliance with RBI directions, Companies Act requirements, KYC/AML norms, fair practices, outsourcing guidelines, data privacy obligations, contractual obligations or adverse legal proceedings.

Risk Mitigation: The Company shall mitigate regulatory and legal risk through a compliance calendar, legal review of key contracts and product documents, Board-approved policies, regulatory change management, periodic compliance testing, training, timely filing of returns, management reporting of regulatory observations and prompt closure of audit/compliance findings.

3.6 Technology, Cyber and Information Security Risk

Risk Parameter: Technology and cyber risk arises from system failure, cyber-attacks, unauthorised access, data leakage, inadequate access controls, weak change management, vendor system issues and gaps in business continuity or disaster recovery.

Risk Mitigation: The Company shall mitigate technology and cyber risk through access controls, information security policies, vendor due diligence, periodic vulnerability assessments where applicable, data back-up, disaster recovery testing, incident response processes, cybersecurity awareness, system audit and compliance with applicable RBI technology and digital lending requirements.

3.7 Reputational and Conduct Risk

Risk Parameter: Reputational and conduct risk may arise from customer grievances, unfair practices, aggressive collections, mis-selling, data/privacy incidents, adverse media coverage, regulatory criticism or conduct inconsistent with the Company's values and Fair Practices Code.

Risk Mitigation: The Company shall mitigate such risk through fair and transparent customer communication, grievance redressal mechanisms, responsible collections, staff and agent training, monitoring of complaints, escalation of conduct issues, adherence to the Fair Practices Code and periodic reporting to senior management and the Board/RMC.

4. LIQUIDITY RISK MANAGEMENT FRAMEWORK

4.1 The Company shall maintain a sound and robust liquidity risk management framework to ensure that it has sufficient liquidity, including an appropriate cushion of unencumbered and readily realisable liquid assets, to meet obligations under normal as well as stressed conditions. The framework shall cover liquidity risk tolerance, funding strategy, prudential limits, systems for measuring and reporting liquidity, stress testing, contingency funding, management reporting and periodic review of assumptions used in liquidity projections.

4.2 Governance: The Board shall have overall responsibility for management of liquidity risk. The Board shall approve the strategy, policies, procedures and broad risk appetite for liquidity risk. The RMC shall evaluate and monitor the overall risk profile, including liquidity risk. ALCO shall be responsible for implementation of the liquidity risk management strategy and for ensuring adherence to risk tolerance and limits approved by the Board/RMC.

4.3 Role of ALCO: ALCO shall decide and review the desired maturity profile and mix of incremental assets and liabilities, borrowing strategy, funding diversification, liquidity buffer, investment of temporary surplus, cost of funds, product pricing implications, structural liquidity gaps, dynamic liquidity profile and interest rate sensitivity. ALCO shall also review regulatory requirements affecting treasury, ALM and liquidity management.

4.4 ALM Support Group: The ALM Support Group shall analyse, monitor and report the liquidity risk profile to ALCO. It shall prepare liquidity statements, cash flow projections, projected ALM, lender repayment schedules, disbursement funding plans, concentration analysis, borrowing plans and stress scenarios. The constitution of the support group may be modified depending on the size and complexity of the Company's operations.

4.5 Business Planning and Projected ALM: The annual business plan shall include treasury and liquidity planning. The plan shall cover projected disbursements, collections, operating expenses, existing and proposed borrowings, lender

repayments, equity infusion if any, maturity profile and expected cost of funds. Revised estimates shall be prepared periodically based on actual business performance, cash flows and funding availability. Projected ALM shall be prepared by mapping expected asset cash flows and liability maturities into relevant time buckets to identify funding gaps and to determine the appropriate borrowing mix and tenor.

4.6 Liquidity Risk Tolerance: The Company shall at all times maintain sufficient liquidity to meet contractual and expected obligations. As an internal prudential standard, the Company should endeavour to maintain readily available liquidity sufficient to cover the next three months' lender repayments including interest, three months' operating expenses and one month's planned disbursements, subject to business stage, actual borrowing profile and ALCO-approved exceptions. ALCO may recommend a higher or lower buffer based on company-specific circumstances, market conditions, undrawn committed lines, business plans and regulatory requirements. Any material deviation from approved liquidity tolerance shall be escalated to the CFO/Managing Director and reported to ALCO/RMC.

4.7 Liquidity Costs, Benefits and Risks in Internal Pricing: The Company shall develop a process to factor liquidity costs, cost of funds, expected borrowing tenor, liquidity buffer cost and refinancing risk into product pricing, business plan assumptions, performance measurement and new product approvals for all material products and activities.

4.8 Off-Balance Sheet Exposures and Contingent Liabilities: The Company shall identify, measure, monitor and control liquidity risk arising from undisbursed loan commitments, guarantees, derivatives if any, securitisation/assignment obligations, committed lines and any other contingent funding obligations. Such exposures shall be captured in cash flow projections and stress testing where relevant.

4.9 Funding Strategy: The Company shall maintain a diversified funding strategy, subject to market conditions, scale of operations, cost reasonableness and lender appetite. Funding sources may include bank term loans, working capital lines, NCDs, securitisation/direct assignment, co-lending/partnership arrangements, inter-corporate deposits or other instruments permitted by law and approved internally. The Company shall avoid undue reliance on a single lender, instrument, maturity bucket or funding market. Treasury shall regularly assess the capacity to raise funds from each source and shall maintain active relationships with banks, financial institutions and other funding partners.

4.10 Collateral Position Management: Where applicable, the Company shall monitor collateral and security available for borrowings, differentiating between encumbered and unencumbered assets. It shall track security cover, eligible pool availability, assignment/securitisation potential, legal/documentation status and the ability to mobilise collateral in a timely manner. The Company shall maintain sufficient eligible assets/collateral to support expected and unexpected borrowing needs.

4.11 Stress Testing: Stress testing shall form an integral part of liquidity risk management. The Company shall conduct stress tests at least half-yearly, or more frequently during periods of stress, using NBFC-specific and market-wide scenarios, individually and in combination. Stress scenarios may include delayed collections, higher delinquencies, accelerated disbursements, withdrawal/non-renewal of funding lines, rating downgrade, increase in borrowing cost, operational disruption, concentration of repayments, and closure or impairment of a key funding source. Stress testing results shall be placed before ALCO and material findings shall be escalated to RMC/Board.

4.12 Contingency Funding Plan: The Company shall maintain a Contingency Funding Plan ("CFP") to respond to severe liquidity disruptions. The CFP shall identify stress triggers, escalation protocols, roles and responsibilities, available liquidity sources, communication plan, action hierarchy and approval requirements. Contingency actions may include curtailing or deferring non-committed disbursements, drawing sanctioned undrawn lines, liquidating permissible investments, raising short-term/long-term funds, securitising/assigning eligible receivables, rebalancing the maturity profile and seeking additional equity or subordinated debt support where appropriate.

4.13 Public Disclosure: The Company shall publicly disclose liquidity risk information on its website and/or in annual financial statements as notes to accounts to the extent prescribed by RBI and applicable accounting/regulatory requirements. If LCR disclosure becomes applicable by virtue of asset size, layer classification or regulatory direction, the Company shall disclose the prescribed quantitative and qualitative information in the prescribed format.

4.14 Review of Assumptions: Assumptions used for liquidity projections, behavioural cash flows, prepayments, collection efficiency, undisbursed commitments, asset sell-down capacity and availability of borrowing lines shall be

reviewed periodically by ALCO. Assumptions shall be revised where actual experience or market conditions indicate material variation.

4.15 Liquidity Coverage Ratio: LCR requirements shall be complied with if and when the Company falls within the regulatory threshold prescribed by RBI. Until such time, the Company may use LCR-like metrics and high-quality liquid asset concepts for internal monitoring. HQLA for internal monitoring may include cash, bank balances, fixed deposits with scheduled commercial banks, government securities, liquid mutual funds and other permitted liquid investments, subject to applicable investment policy and regulatory restrictions.

4.16 Prudential Limits and Early Warning Thresholds

The following limits shall be used for internal monitoring. ALCO may recommend modifications based on the Company's scale, borrowing profile, regulatory status and Board-approved risk appetite. Breaches or near breaches shall be escalated as indicated below and corrective action shall be tracked.

Metric	Definition	Policy Limit	Threshold 1 - CFO	Threshold 2 - MD/ALCO
Liquidity buffer adequacy	Available cash/bank balance, callable liquid investments and committed undrawn lines divided by next 3 months lender repayments + 3 months operating expenses + next 1 month planned disbursements	Minimum 100%	<110%	<105% / breach
Short-term ALM mismatch	Cumulative negative mismatch in structural liquidity buckets up to 1 year	Not to exceed 10% of cumulative outflows in each applicable bucket	Crossing 5%	Crossing 8% / breach
Longer-term ALM mismatch	Cumulative negative mismatch in buckets beyond 1 year	Not to exceed 15% of cumulative outflows, for monitoring	Crossing 10%	Crossing 12% / breach
Funding concentration - single lender	Borrowing from a single lender as % of total borrowings	Internal cap to be approved by Board/ALCO; indicative cap 25% unless specifically approved	Crossing 3%	Crossing 4% or approved cap
Funding concentration - instrument	Borrowing through a single instrument/product as % of total borrowings	Internal cap to be approved through Resource Planning/ALCO; avoid undue concentration	75% of approved cap	90% of approved cap / breach
Foreign currency exposure	Unhedged foreign currency exposure, if any	Nil unless specifically approved by ALCO/Board and permitted by law	Any proposed unhedged exposure	Any actual unhedged exposure
Other short-term liabilities	Other short-term liabilities as % of total liabilities	<= 40%	Crossing 30%	Crossing 35% / breach
LCR / HQLA metric, if applicable	Stock of HQLA divided by net cash outflows over next 30 days	As prescribed by RBI; internal monitoring may target 100% where applicable	<120%	<110% / regulatory breach as applicable

Thresholds are intended as early warning levels and not as post-breach reporting points. Corrective action should be initiated before policy limits are breached.

4.17 System for Measuring, Assessing and Reporting/Reviewing Liquidity

The Company shall have systems and processes for measuring, assessing and reporting its liquidity position and adherence to prudential limits. The following shall be reviewed by ALCO:

- daily/periodic cash flow and bank balance position;
- upcoming lender repayments, interest payments and operating expenses;
- projected disbursements and collections;
- structural liquidity statement and dynamic liquidity statement (wherever applicable);
- funding pipeline, sanctioned undrawn limits and documentation status;
- liquidity buffer adequacy;
- funding concentration by lender, instrument, tenor and currency;
- unencumbered assets and eligible pools available for borrowing/sell-down;
- early warning indicators, stress test results and contingency actions; and
- regulatory returns/disclosures relating to ALM and liquidity.

ALCO shall report significant findings, exceptions, limit breaches and corrective action plans to the RMC/Board at periodic intervals.

4.18 Management Information System

The Company shall maintain a reliable MIS to provide timely and forward-looking information on liquidity position to the Board, RMC and ALCO under normal and stressed situations. MIS shall capture all material sources of liquidity risk, including contingent risks and risks arising from new products or activities, and shall be capable of producing more granular and time-sensitive information during stress events.

4.19 Internal Controls

The Company shall maintain appropriate internal controls, systems and procedures to ensure adherence to liquidity risk management policies and procedures. This shall include segregation of duties, maker-checker controls, approval matrices, reconciliations, independent review by internal audit or other independent function, review of limit breaches, exception reporting, document control and periodic review of policy compliance. Material control weaknesses shall be reported to ALCO/RMC and tracked until closure.

4.20 ALM and Maturity Profiling

For measuring and managing net funding requirements, the Company shall use a maturity ladder and calculate cumulative surplus or deficit of funds across prescribed time buckets. Cash inflows and outflows shall be slotted based on contractual maturity, expected timing and behavioural assumptions, consistent with RBI guidance and the Company's internal ALM methodology.

Granular monitoring shall focus particularly on short-term buckets up to 30/31 days and up to one year, as these provide early warning signals of potential liquidity stress. The net cumulative negative mismatch in the shorter buckets shall remain within the limits approved under this Policy or such stricter limits as may be prescribed by RBI.

Indicative maturity bucketing principles are set out below. The Company may update these principles in line with RBI guidance and business practice:

Item	Indicative ALM Treatment
Capital funds	Equity capital, reserves and non-redeemable/perpetual instruments to be placed in over 5 years bucket; redeemable instruments as per residual maturity.
Borrowings / NCDs / ICDs	To be slotted as per residual maturity or earliest put/call/reset date where applicable.
Bank working capital lines	To be slotted based on contractual terms, behavioural assumptions and RBI guidance.

Current liabilities and provisions	To be slotted based on due date or expected timing of cash outflow; provisions based on nature of underlying transaction.
Cash and bank balances	Excess immediately available balances to be placed in 1-30/31 days bucket; minimum balances as per expected availability.
Fixed deposits / investments	To be slotted based on residual maturity or expected defeasance/liquidation period, net of applicable haircuts/provisions.
Performing loans	Principal and interest cash flows to be slotted according to contractual/revised repayment schedule and behavioural assumptions.
Non-performing loans	To be slotted conservatively based on expected recovery timing and net of provisions/interest suspense, in line with applicable guidance.
Undisbursed commitments	To be slotted according to sanctioned disbursement schedule or expected drawdown timing.
Contingent liabilities	To be slotted based on likely devolvement/drawdown using past trends, judgemental assessment and stress assumptions.

4.21 Managing Interest Rate Risk

Interest rate risk arises from timing differences in maturity and repricing of assets, liabilities and off-balance sheet items. The Company's assets may largely be priced at fixed or semi-fixed rates while liabilities may be fixed or floating and may have different repayment structures. ALCO shall monitor the impact of interest rate movement on cost of funds, net interest margin, spreads, earnings and product pricing.

Interest rate risk may include repricing risk, basis risk, reinvestment risk and embedded option risk. The Company shall measure interest rate risk using gap analysis or such other methodology as ALCO may approve. Rate-sensitive assets and liabilities shall be grouped into time buckets according to residual maturity or next repricing date, whichever is earlier, and the impact on earnings shall be reviewed periodically.

4.22 Currency Risk

The Company presently lends in Indian Rupees. If the Company raises foreign currency borrowings or enters into foreign currency exposures in future, it shall identify and measure currency risk through net open position and shall adopt an appropriate hedging strategy approved by ALCO/Board and permitted by applicable law. No unhedged foreign currency exposure shall be carried without specific approval from ALCO/Board.

5. RISK MANAGEMENT PROCESS

The Company shall follow the following risk management process across all material risk categories:

Stage	Process Requirement
Risk Identification	Identify risks at product, borrower, portfolio, branch, process, technology, outsourcing, treasury and enterprise levels. New products and material process changes shall be reviewed from a risk and compliance perspective before implementation.
Risk Assessment and Measurement	Assess risks using quantitative and qualitative tools such as credit scores/underwriting parameters, portfolio quality metrics, ALM gaps, liquidity ratios, operational incidents, audit findings, compliance exceptions, concentration metrics and stress testing.
Risk Mitigation and Control	Implement controls such as policy limits, approval matrices, collateral requirements, documentation standards, maker-checker controls, system controls, vendor controls, liquidity buffers, funding diversification, insurance and contingency plans.
Risk Monitoring	Monitor risk indicators periodically through dashboards, exception reports, portfolio reports, cash flow statements, ALM statements, delinquency reports, compliance calendars, audit reports and grievance reports.

Risk Reporting and Escalation	Report significant risks, breaches, emerging risks and unresolved action points to the appropriate management forum, ALCO, RMC, Audit Committee or Board, based on severity and policy requirements.
Corrective Action and Review	Track corrective action plans to closure. Review policy adequacy, assumptions, limits and controls periodically and revise where required.

6. RISK REPORTING

Risk reporting shall be timely, accurate, forward-looking and proportionate to the Company's scale and risk profile. The following reporting framework shall be followed:

Reporting Forum	Frequency	Indicative Coverage
Board / RMC	As required and when required	Enterprise risk dashboard, key risk indicators, major breaches, stress testing results, portfolio quality, liquidity and ALM status, compliance/regulatory matters, material audit findings and action taken report.
ALCO	As required and when required	Cash flow and liquidity position, structural/dynamic liquidity, projected ALM, borrowing plan, repayment schedule, liquidity buffer, concentration risk, cost of funds, interest rate risk, stress scenarios and contingency actions.
Senior Management	As required and when required	Portfolio quality, collections, disbursement trends, cash flow forecasts, branch exceptions, customer complaints, regulatory/compliance exceptions and key operational indicators.
Regulatory Reporting	As prescribed	RBI returns, ALM statements, liquidity disclosures, statutory filings and other prescribed submissions within applicable timelines.

Any breach of Board-approved limits, regulatory limits or material risk appetite thresholds shall be escalated promptly to the CFO/Managing Director and placed before ALCO/RMC/Board as appropriate, together with root cause, impact assessment and corrective action plan.

7. REVIEW

This Policy shall be reviewed at least annually, or earlier if there is any material change in business model, product profile, borrowing profile, regulatory requirements, risk appetite or operating environment. Any amendment to this Policy shall be approved by the Board or such committee/persons as may be authorised by the Board. Operating procedures, templates and internal limits may be updated by ALCO/RMC within the overall framework approved by the Board, provided that material changes are placed before the Board for noting or approval, as applicable.

In case of any inconsistency between this Policy and applicable RBI directions or law, the regulatory requirement shall prevail and the Policy shall be amended at the earliest opportunity.